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Equity Research

WELLS FARGO

Price Target Change — February 5, 2026

Internet

Alphabet Inc.

4Q:25 EPS Review: Setting the Pace

Equal Weight
Price Target: $354.00

Notable Changes			
$ (Dec)	Current	Prior	% Chg
Price Target	$354.00	$350.00	1.1% ▲
EPS 2026	11.44	11.23	1.9% ▲
Rev. (MM) 2026	478.38B	468.01B	2.2% ▲

Ticker	GOOGL
Upside/(Downside) to Target	**6.3%**
Price (02/04/2026)	**$333.04**
52 Week Range	$140.53 - 349.00
Market Cap (MM)	$4,064,087
Enterprise Value (MM)	$3,969,225
Average Daily Value (MM)	$11,931
Dividend Yield	0.3%

$ (Dec)	Q1	Q2	Q3	Q4	FY
EPS					
2026E	2.65 E	2.82 E	2.86 E	3.10 E	11.44 E
Prior	2.59 E	2.73 E	2.82 E	3.09 E	11.23 E
2027E	3.06 E	3.15 E	3.20 E	3.44 E	12.85 E

Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NC = No Change, NE = No Estimate

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Our Call

Solid search revs and a massive cloud beat offset by a relatively breathtaking CapEx forecast of $180B at the midpoint, 50% above consensus. GOOG is innovating at a pace not seen in many yrs, but earnings upside appears limited by massive investment.

Solving for industry capacity constraints, GOOG guides 2026 CapEx to $180B at the midpoint, 50% above consensus and doubling 2025 CapEx, which itself was nearly a double of 2024. The pace and scale of investment is unprecedented, as GOOG flexes its muscles and stakes its claim as the AI compute capacity leader. We believe the market will tolerate the CapEx ramp, and plunging FCF, because GOOG has demonstrated multiple capabilities to monetize the surging investment.

Cloud stole the spotlight from a strong search revenue figure, posting at 14pt acceleration to 48% growth and growing Q/Q revenue dollars by $2.5B, the largest sequential increase in cloud industry history, we believe. Possibly more impactful, backlog grew 55%, or $85B, sequentially after a $49B Q/Q increase in 3Q. While still the #3 player in cloud, GOOG has made massive strides in the last 6 months. We now forecast nearly 60% growth in 2026, up from 40% previously, and with improving margins.

Despite impressive momentum at Cloud and search, heavy compute investment limits EPS upside and requires investors to further expand the multiple beyond the current 26X 2027 estimated EPS to generate meaningful upside. Earnings quality is falling, as '27 estimated CapEx of ~$200B is nearly 4X depreciation expense. We do not doubt GOOG's capabilities, but we do believe investors currently pay a fair price for the right to participate in the AI CapEx race.

Search advertising, formerly the key point of controversy, posted the fastest revenue growth since 1Q22, the last COVID recovery quarter and now appears in firm control of its destiny. We had feared that the rapid ascent of OpenAI's ChatGPT would force GOOG to transition aggressively to AI Mode, likely leading to revenue disruption. However, in 2H:25 GOOG stabilized its share losses and appears back in control, rolling out AI Mode at a more measured pace to mitigate any potential disruption.

Estimates, rating and price target. Raise 1Q revenues 2%, primarily driven by 12% increase to Cloud revenues. 1Q EPS increases 3% to $2.65. Increase '26 / '27 revenues by 2% / 4%, with a 15% / 18% increase to Cloud revenues. Adjust '26 / '27 Search revenues +20bps / +120bps. Raise '26 / 27 OI forecasts by 3% and EPS by 2% / 1%. See '26 CapEx at $183B, near HE of guide ($185B). Remain EW rated and adjust our PT to $354 (+$4) based on 27.5x (unch) '27 GAAP EPS estimate of $12.85.

All estimates/forecasts are as of 2/5/2026 unless otherwise stated. 2/5/2026 1:18:48EST. Please see page 7 for rating definitions, important disclosures and required analyst certifications. Wells Fargo Securities, LLC does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of the report and investors should consider this report as only a single factor in making their investment decision.

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Wells Fargo Express Takeaways

Alphabet Inc. (GOOGL) | Rating: Equal Weight | Price Target: $354.00
Analyst: Ken Gawrelski

Financials

FY (Dec) $ ESTIMATES	2025A	2026E	2027E
EPS			
Q1	2.81 A	2.65 E	3.06 E
Q2	2.31 A	2.82 E	3.15 E
Q3	2.87 A	2.86 E	3.20 E
Q4	2.82 A	3.10 E	3.44 E
AN	10.81 A	11.44 E	12.85 E
Rev. (MM)	402.84B A	478.38B E	552.71B E
EBIT (MM)	129,039.0 A	163,459.0 E	185,237.0 E

WELLS FARGO vs. CONSENSUS			
Consensus Estimate	10.81 A	11.24 E	12.98 E
Difference from Consensus		1.8%	(0.9)%

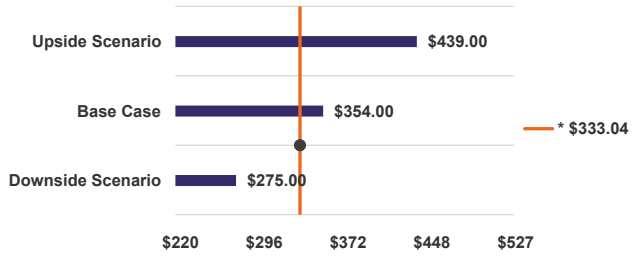
VALUATION			
P/E	30.8x	29.1x	25.9x
EV/Revenue	9.9x	8.3x	7.2x
EV/EBIT	30.8x	24.3x	21.4x

Consensus Estimate: EPS; Source: VisibleAlpha
Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NE = No Estimate

Investment Thesis

We rate GOOGL EW. We believe that the upcoming format transition to conversation search brings significant uncertainty to the search market. We expect disruption with the format change, which will likely drive headwinds to medium-term search growth. Competitors are likely to bid aggressively for Google's search distribution partnerships, driving profitability lower. Even if Google maintains search leadership, we do not expect the company to replicate its prior prosperity in the next decade.

Risk vs. Reward – Upside/Downside Price Target Scenarios



**As of 02/04/26*
Source: Wells Fargo Securities, LLC estimates and Factset.

Base Case | $354.00

- Our PT of $354 is based on a 27.5x multiple on our 2027 EPS estimate.
- Our multiple represents a premium to GOOGL's average FY+2 P/E multiple of 19x over the past 24 months.

Upside Scenario | $439.00

- Upside price target is $439, which applies a 32.5x multiple to a higher 2027E EPS estimate of $13.50.
- Upside to our PT would be driven by faster-than-expected revenue growth, and
- Lower TAC payments to distribution partners.

Downside Scenario | $275.00

- Downside price target is $275, which applies a 22.5x multiple to a lower 2027 EPS estimate of $12.21.
- Downside to our PT would be driven by slower-than-expected revenue growth, and
- Higher TAC payments to distribution partners.

Upcoming Catalysts

- 1Q:26 Earnings Report

Company Description

Alphabet Inc. is the holding co. owner of Google Inc., a global technology company with a stated mission to "organize the world's information and make it universally accessible and useful." Founded in 1998, Google operates the world's leading search engine platform and has led the development of Android, the world's leading mobile operating system. Other products include YouTube, Chrome OS and browser, Google Docs, Gmail, and Google Playstore. Alphabet is headquartered in Mountain View, CA.

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Exhibit 1 - Actual vs. Estimates

GOOG Actual vs. Estimates	Actual 4Q25	% - Y/Y	WFS Est. 4Q25	Actual vs. WFS Est.	Street 4Q25	Actual vs. Street
Total GAAP Revenue	**113,828**	**18%**	**113,254**	**1%**	**111,337**	**2%**
Total Revenue (Excl. TAC)	**97,231**	**19%**	**96,678**	**1%**	**95,160**	**2%**
Total Advertising TAC	**(16,597)**	**12%**	**(16,576)**	**0%**	**(16,178)**	**3%**
As % of GAAP Revenue	*14.6%*	*(81 bps)*	*14.6%*	*(6 bps)*	*14.5%*	*5 bps*
Operating Income	**35,934**	**16%**	**37,455**	**(4%)**	**36,882**	**(3%)**
Op Margin - GAAP Revenue	*31.6%*	*(54 bps)*	*33.1%*	*(150 bps)*	*33.1%*	*(156 bps)*
GAAP Diluted EPS	**$2.82**	**31%**	**$2.60**	**8%**	**$2.64**	**7%**
CapEx	**(27,851)**	**95%**	**(27,838)**	**0%**	**(27,949)**	**(0%)**
FCF	**24,551**	**(1%)**	**16,431**	**49%**	**15,841**	**55%**
Employee Net Adds	**653**	**(68%)**	**1,250**	**(48%)**	**1,612**	**(59%)**
Segments						
Search Revenue	63,073	17%	62,609	1%	61,279	3%
% - Y/Y, Constant Currency (Est.)	*15.3%*	*247 bps*	*13.6%*	*174 bps*	--	--
YouTube Revenue	11,383	9%	12,280	(7%)	11,826	(4%)
% - Y/Y, Constant Currency (Est.)	*7.3%*	*(684 bps)*	*15.0%*	*(769 bps)*	--	--
Sites Revenue	**74,456**	**15%**	**74,889**	**(1%)**	**73,106**	**2%**
Network Revenue	7,828	(2%)	7,795	0%	7,779	1%
Advertising Revenue	**82,284**	**14%**	**82,684**	**(0%)**	**80,885**	**2%**
Advertising TAC Rate	*20.2%*	*(32 bps)*	*20.0%*	*12 bps*	*20.0%*	*17 bps*
Google Other Revenue	13,578	17%	13,960	(3%)	13,755	(1%)
Google Services Revenue	**95,862**	**14%**	**96,644**	**(1%)**	**94,640**	**1%**
Google Services Operating Income	40,132	22%	38,637	4%	38,151	5%
Op Margin - Google Services	*41.9%*	*282 bps*	*40.0%*	*189 bps*	*40.3%*	*155 bps*
Google Cloud Revenue	**17,664**	**48%**	**16,170**	**9%**	**16,280**	**9%**
Google Cloud Operating Income	**5,313**	**154%**	**3,568**	**49%**	**3,739**	**42%**
Op Margin - Google Cloud	*30.1%*	*1,257 bps*	*22.1%*	*801 bps*	*23.0%*	*711 bps*
Other Bets Revenue	**370**	**(8%)**	**440**	**(16%)**	**430**	**(14%)**
Other Bets Operating Income	**(3,617)**	**208%**	**(1,250)**	**189%**	**(1,232)**	**194%**
Op Margin - Other Bets	*(977.6%)*	*(68,407 bps)*	*(284.1%)*	*(69,348 bps)*	*(286.3%)*	*(69,125 bps)*

Source: Wells Fargo Securities, LLC Estimates, Company Reports, VisibleAlpha

Exhibit 2 - Estimate Revisions

Estimate Revisions ($M)	New 1Q26	Old 1Q26	% - Change	New FY26	Old FY26	% - Change	New FY27	Old FY27	% - Change	New FY28	Old FY28	% - Change
Total GAAP Revenue	108,594	106,662	1.8%	478,385	468,012	2.2%	552,711	533,675	3.6%	627,714	595,312	5.4%
Total Revenue (Excl. TAC)	92,936	91,079	2.0%	411,459	401,122	2.6%	478,913	460,450	4.0%	546,392	516,326	5.8%
Total Distribution TAC	(15,658)	(15,582)	0.5%	(66,927)	(66,890)	0.1%	(73,799)	(73,225)	0.8%	(81,322)	(78,987)	3.0%
As % of GAAP Revenue	*14.4%*	*14.6%*	*(19 bps)*	*14.0%*	*14.3%*	*(30 bps)*	*13.4%*	*13.7%*	*(37 bps)*	*13.0%*	*13.3%*	*(31 bps)*
Operating Income	37,726	36,659	2.9%	163,459	159,204	2.7%	185,237	180,334	2.7%	208,310	197,706	5.4%
Op Margin - GAAP Revenue	*34.7%*	*34.4%*	*37 bps*	*34.2%*	*34.0%*	*15 bps*	*33.5%*	*33.8%*	*(28 bps)*	*33.2%*	*33.2%*	*(3 bps)*
GAAP Diluted EPS	$2.65	$2.59	2.6%	$11.44	$11.23	1.9%	$12.85	$12.73	1.0%	$14.35	$14.00	2.5%
CapEx	(34,394)	(27,515)	25.0%	(182,894)	(124,952)	46.4%	(204,841)	(147,443)	38.9%	(229,422)	(165,136)	38.9%
FCF	12,160	26,473	(54.1%)	27,322	79,438	(65.6%)	45,226	92,549	(51.1%)	62,414	104,033	(40.0%)
Employee Net Adds	1,908	2,488	(23.3%)	6,371	8,162	(21.9%)	5,916	6,985	(15.3%)	6,093	6,197	(1.7%)
Segments												
Search Revenue	59,184	58,780	0.7%	253,686	253,100	0.2%	281,345	278,024	1.2%	310,349	298,683	3.9%
% - Y/Y, Constant Currency (Est.)	*13.1%*	*12.5%*	*57 bps*	*11.6%*	*12.1%*	*(53 bps)*	*10.5%*	*9.8%*	*63 bps*	*10.3%*	*7.4%*	*288 bps*
Search TAC Rate (WFS Est.)	*18.8%*	*18.8%*	--	*19.1%*	*19.1%*	*(4 bps)*	*20.0%*	*20.0%*	*(4 bps)*	*20.9%*	*20.9%*	*(4 bps)*
YouTube Revenue	10,056	10,392	(3.2%)	45,320	47,204	(4.0%)	49,522	52,869	(6.3%)	54,475	58,684	(7.2%)
% - Y/Y, Constant Currency (Est.)	*9.0%*	*13.0%*	*(400 bps)*	*10.8%*	*13.5%*	*(268 bps)*	*8.8%*	*12.0%*	*(315 bps)*	*10.0%*	*11.0%*	*(100 bps)*
Sites Revenue	69,239	69,172	0.1%	299,006	300,304	(0.4%)	330,868	330,892	(0.0%)	364,824	357,367	2.1%
Network Revenue	7,038	7,038	0.0%	28,898	28,866	0.1%	27,453	27,423	0.1%	25,806	25,777	0.1%
Advertising Revenue	76,278	76,210	0.1%	327,904	329,170	(0.4%)	358,321	358,315	0.0%	390,630	383,144	2.0%
Advertising TAC Rate	*20.5%*	*20.4%*	*8 bps*	*20.4%*	*20.3%*	*9 bps*	*20.6%*	*20.4%*	*16 bps*	*20.8%*	*20.6%*	*20 bps*
Google Other Revenue	12,092	12,299	(1.7%)	55,558	56,205	(1.2%)	62,503	63,230	(1.2%)	68,753	69,553	(1.2%)
Google Services Revenue	88,369	88,509	(0.2%)	383,462	385,375	(0.5%)	420,824	421,545	(0.2%)	459,383	452,698	1.5%
Google Services Operating Income	39,708	37,626	5.5%	165,751	158,990	4.3%	177,433	171,807	3.3%	190,902	180,605	5.7%
Op Margin - Google Services	*44.9%*	*42.5%*	*242 bps*	*43.2%*	*41.3%*	*197 bps*	*42.2%*	*40.8%*	*141 bps*	*41.6%*	*39.9%*	*166 bps*
Google Cloud Revenue	19,685	17,612	11.8%	93,078	80,709	15.3%	129,674	109,816	18.1%	165,675	139,838	18.5%
Google Cloud Operating Income	5,518	3,783	45.9%	28,457	19,215	48.1%	41,266	27,947	47.7%	52,966	36,953	43.3%
Op Margin - Google Cloud	*28.0%*	*21.5%*	*656 bps*	*30.6%*	*23.8%*	*677 bps*	*31.8%*	*25.4%*	*637 bps*	*32.0%*	*26.4%*	*554 bps*
Other Bets Revenue	540	540	0.0%	1,844	1,928	(4.4%)	2,213	2,314	(4.4%)	2,656	2,777	(4.4%)
Other Bets Operating Income	(1,500)	(1,250)	20.0%	(6,000)	(5,000)	20.0%	(5,000)	(5,000)	0.0%	(4,250)	(5,000)	(15.0%)
										(160%)	*(180%)*	*2,004 bps*

Source: Wells Fargo Securities, LLC Estimates, Company Reports

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Exhibit 3 - Google Cloud Revenue From Backlog Build

	2024A	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E
GOOGL Backlog by Quarter End ($B)	93.2	92.4	108.2	157.7	240.0	240.0	252.0	264.6	277.8	291.7	291.7	354.6
% Recognized in next 24 months	50%	55%	55%	55%	55%	55%	55%	55%	55%	55%	55%	55%
% Recognized next 24-48 months	50%	45%	45%	45%	45%	45%	45%	45%	45%	45%	45%	45%
Backlog - % Y/Y Growth	26%	27%	37%	82%	158%	158%	173%	145%	76%	22%	22%	22%
Backlog - % Q/Q Growth	--	-1%	17%	46%	52%	--	5.0%	5.0%	5.0%	5.0%	--	--
Revenue From Backlog ($B)	32.3	9.8	10.2	11.2	14.9	46.2	21.1	21.9	23.1	24.5	90.6	112.4
% Y/Y Increase	*35%*	*26%*	*33%*	*38%*	*71%*	*43%*	*115%*	*114%*	*106%*	*65%*	*96%*	*24%*
% Q/Q Increase	*--*	*13%*	*4%*	*10%*	*33%*	*--*	*42%*	*3%*	*6%*	*6%*	*--*	*--*
% Total Revs	*75%*	*80%*	*75%*	*74%*	*84%*	*79%*	*107%*	*99%*	*95%*	*91%*	*97%*	*87%*
(+) Implied Revenue Ex Backlog ($B)	10.9	2.4	3.4	3.9	2.8	12.5	2.1	2.9	3.3	2.4	10.6	9.1
% Y/Y Increase	*20%*	*38%*	*28%*	*22%*	*-15%*	*15%*	*-15%*	*-15%*	*-15%*	*-15%*	*-15%*	*-15%*
% Q/Q Increase	*--*	*-26%*	*41%*	*15%*	*-30%*	*--*	*-26%*	*41%*	*15%*	*-30%*	*--*	*--*
% Total Revs	*25%*	*20%*	*25%*	*26%*	*16%*	*21%*	*10%*	*13%*	*14%*	*9%*	*11%*	*7%*
(+) Capacity Deferral ($B)							(3.5)	(2.6)	(2.1)	-	(8.2)	8.2
(=) WFSe GCP Revenue ($B)	**43.2**	**12.3**	**13.6**	**15.2**	**17.7**	**58.7**	**19.7**	**22.2**	**24.4**	**26.9**	**93.1**	**129.7**
% Y/Y Increase	*31%*	*28%*	*32%*	*34%*	*48%*	*36%*	*61%*	*63%*	*61%*	*52%*	*59%*	*39%*
% Difference vs Consensus											*20%*	*27%*
Consensus GCP Revenue ($B)							16.8	18.5	20.4	21.7	77.5	101.8
% Y/Y Increase							*37%*	*36%*	*34%*	*23%*	*35%*	*31%*

Source: Wells Fargo Securities, LLC Estimates, Company Reports, VisibleAlpha

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Financials

Exhibit 4 - Income Statement

(USD Millions, Except Per Share)	2023A	2024A	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E
Income Statement														
Revenue	**307,394**	**350,018**	**90,234**	**96,428**	**102,346**	**113,828**	**402,836**	**108,594**	**115,806**	**120,927**	**133,058**	**478,385**	**552,711**	**627,714**
% Y/Y - Revenue	*8.7%*	*13.9%*	*12.0%*	*13.8%*	*15.9%*	*18.0%*	*15.1%*	*20.3%*	*20.1%*	*18.2%*	*16.9%*	*18.8%*	*15.5%*	*13.6%*
Cost of Revenue	(133,332)	(146,306)	(36,361)	(39,039)	(41,369)	(45,766)	(162,535)	(43,346)	(46,510)	(48,987)	(54,029)	(192,872)	(228,551)	(265,494)
Research and Development	(45,427)	(49,326)	(13,556)	(13,808)	(15,151)	(18,572)	(61,087)	(16,945)	(17,260)	(18,939)	(20,096)	(73,240)	(87,107)	(99,302)
Sales and Marketing	(27,917)	(27,808)	(6,172)	(7,101)	(7,205)	(8,215)	(28,693)	(6,481)	(7,456)	(7,565)	(8,626)	(30,128)	(31,634)	(33,216)
General and Administrative	(16,425)	(14,188)	(3,539)	(5,209)	(7,393)	(5,341)	(21,482)	(4,097)	(4,403)	(4,419)	(5,768)	(18,688)	(20,183)	(21,393)
Other	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Costs and Expenses	**(223,101)**	**(237,628)**	**(59,628)**	**(65,157)**	**(71,118)**	**(77,894)**	**(273,797)**	**(70,868)**	**(75,629)**	**(79,910)**	**(88,519)**	**(314,927)**	**(367,475)**	**(419,405)**
Operating Income	**84,293**	**112,390**	**30,606**	**31,271**	**31,228**	**35,934**	**129,039**	**37,726**	**40,177**	**41,017**	**44,539**	**163,459**	**185,237**	**208,310**
% Y/Y - Operating Income	*12.6%*	*33.3%*	*20.2%*	*14.0%*	*9.5%*	*16.0%*	*14.8%*	*23.3%*	*28.5%*	*31.3%*	*23.9%*	*26.7%*	*13.3%*	*12.5%*
% Margin - Operating Income	*27.4%*	*32.1%*	*33.9%*	*32.4%*	*30.5%*	*31.6%*	*32.0%*	*34.7%*	*34.7%*	*33.9%*	*33.5%*	*34.2%*	*33.5%*	*33.2%*
Interest Income	3,865	4,482	1,001	1,050	1,076	1,210	4,337	1,522	1,537	1,596	1,682	6,337	6,656	6,694
Interest Expense	(308)	(268)	(34)	(261)	(143)	(298)	(736)	(349)	(349)	(537)	(537)	(1,771)	(2,521)	(3,402)
Foreign Currency Exchange Gain (Loss), Net	(1,238)	(409)	(106)	(69)	(143)	(64)	(382)	0	0	0	0	0	0	0
Gain (Loss) on Debt Securities, Net	(1,215)	(1,043)	202	165	122	51	540	0	0	0	0	0	0	0
Gain (Loss) on Equity Securities, Net	392	3,714	9,758	1,286	10,734	2,302	24,080	0	0	0	0	0	0	0
Performance Fees	257	218	(40)	(83)	(174)	0	(297)	0	0	0	0	0	0	0
Gain (Loss) & Imp. from Eq Method Invest., Net	(628)	(188)	(22)	419	(30)	(86)	281	0	0	0	0	0	0	0
Other	299	919	424	155	1,317	68	1,964	0	0	0	0	0	0	0
Other Income (Expenses), Net	1,424	7,425	11,183	2,662	12,759	3,183	29,787	1,173	1,188	1,059	1,146	4,566	4,135	3,292
Pre-Tax Income	**85,717**	**119,815**	**41,789**	**33,933**	**43,987**	**39,117**	**158,826**	**38,899**	**41,364**	**42,077**	**45,684**	**168,024**	**189,371**	**211,601**
Provision for Income Taxes	(11,922)	(19,697)	(7,249)	(5,737)	(9,008)	(4,662)	(26,656)	(6,418)	(6,825)	(6,943)	(7,538)	(27,724)	(31,246)	(34,914)
% Tax Rate	*13.9%*	*16.4%*	*17.3%*	*16.9%*	*20.5%*	*11.9%*	*16.8%*	*16.5%*	*16.5%*	*16.5%*	*16.5%*	*16.5%*	*16.5%*	*16.5%*
Net Income	**73,795**	**100,118**	**34,540**	**28,196**	**34,979**	**34,455**	**132,170**	**32,481**	**34,539**	**35,134**	**38,146**	**140,300**	**158,125**	**176,687**
% Y/Y - Net Income	*23.0%*	*35.7%*	*46.0%*	*19.4%*	*33.0%*	*29.8%*	*32.0%*	*(6.0%)*	*22.5%*	*0.4%*	*10.7%*	*6.2%*	*12.7%*	*11.7%*
Basic Shares Outstanding	12,630	12,319	12,183	12,122	12,086	12,073	12,116	12,086	12,101	12,117	12,132	12,109	12,146	12,161
Diluted Shares Outstanding	12,722	12,447	12,291	12,198	12,203	12,228	12,230	12,241	12,256	12,272	12,287	12,264	12,301	12,316
% Y/Y - Diluted Shares Outstanding	*(3.3%)*	*(2.2%)*	*(1.9%)*	*(2.4%)*	*(1.7%)*	*(1.0%)*	*(1.7%)*	*(0.4%)*	*0.5%*	*0.6%*	*0.5%*	*0.3%*	*0.3%*	*0.1%*
Basic EPS	$5.84	$8.13		$2.33	$2.89	$2.85	$10.91	$2.69	$2.85	$2.90	$3.14	$11.59	$13.02	$14.53
% Y/Y - Basic EPS	*252.7%*	*274.5%*	*(100.0%)*	*--*	*24.4%*	*(1.4%)*	*282.2%*	*(5.8%)*	*6.2%*	*1.6%*	*8.4%*	*6.2%*	*12.4%*	*11.6%*
Diluted EPS	**$5.80**	**$8.04**	**$2.81**	**$2.31**	**$2.87**	**$2.82**	**$10.81**	**$2.65**	**$2.82**	**$2.86**	**$3.10**	**$11.44**	**$12.85**	**$14.35**
% Y/Y - Diluted EPS	*27.3%*	*38.7%*	*48.8%*	*22.3%*	*35.3%*	*31.1%*	*34.4%*	*(5.6%)*	*21.9%*	*(0.1%)*	*10.2%*	*5.9%*	*12.4%*	*11.6%*
EBITDA Including SBC	**96,239**	**127,701**	**35,093**	**36,269**	**36,839**	**41,974**	**150,175**	**44,566**	**47,894**	**49,777**	**54,453**	**196,690**	**235,081**	**276,382**
% Y/Y - EBITDA Including SBC	*6.0%*	*32.7%*	*21.5%*	*16.5%*	*13.3%*	*19.3%*	*17.6%*	*27.0%*	*32.1%*	*35.1%*	*29.7%*	*31.0%*	*19.5%*	*17.6%*
% Margin - EBITDA Including SBC	*31.3%*	*36.5%*	*38.9%*	*37.6%*	*36.0%*	*36.9%*	*37.3%*	*41.0%*	*41.4%*	*41.2%*	*40.9%*	*41.1%*	*42.5%*	*44.0%*
Dividend Per Share	**$0.00**	**$0.60**	**$0.20**	**$0.21**	**$0.21**	**$0.21**	**$0.83**	**$0.21**	**$0.24**	**$0.24**	**$0.24**	**$0.93**	**$1.07**	**$1.20**
% Y/Y - Dividend Per Share	*--*	*--*	*--*	*5.0%*	*5.0%*	*5.0%*	*38.3%*	*5.0%*	*15.0%*	*15.0%*	*15.0%*	*12.6%*	*14.3%*	*12.0%*

Source: Wells Fargo Securities, LLC Estimates, Company Reports

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Investment Thesis, Valuation and Risks

Alphabet Inc. (GOOGL)

Investment Thesis

We rate GOOGL EW. We believe that the upcoming format transition to conversation search brings significant uncertainty to the search market. We expect disruption with the format change, which will likely drive headwinds to medium-term search growth. Competitors are likely to bid aggressively for Google's search distribution partnerships, driving profitability lower. Even if Google maintains search leadership, we do not expect the company to replicate its prior prosperity in the next decade.

Target Price Valuation for GOOGL: $354.00 from $350.00

- Our PT of $354 is based on a 27.5x multiple on our 2027 EPS estimate.
- Our multiple represents a premium to GOOGL's average FY+2 P/E multiple of 19x over the past 24 months.

Risks to Our Price Target and Rating for GOOGL

Upside risks: 1) Better-than-expected adoption and advancement of Google's conversational search products; 2) Minimal pricing headwinds associated with the new conversational search product

Downside risks: 1) Major distribution partners (MDPs) significantly increase the contractual rev share % in their agreements with Google; 2) MDPs decline to renew existing agreements with Google; 3) Rising efficiency of conversational searches drastically decreases the # of Google's traditional search queries.

Companies Mentioned in Report

Company Name	Ticker	Last Price (02/04/26)	Rating
Alphabet Inc.	GOOGL	$333.04	Equal Weight

Source: Wells Fargo Securities LLC Estimates, FactSet

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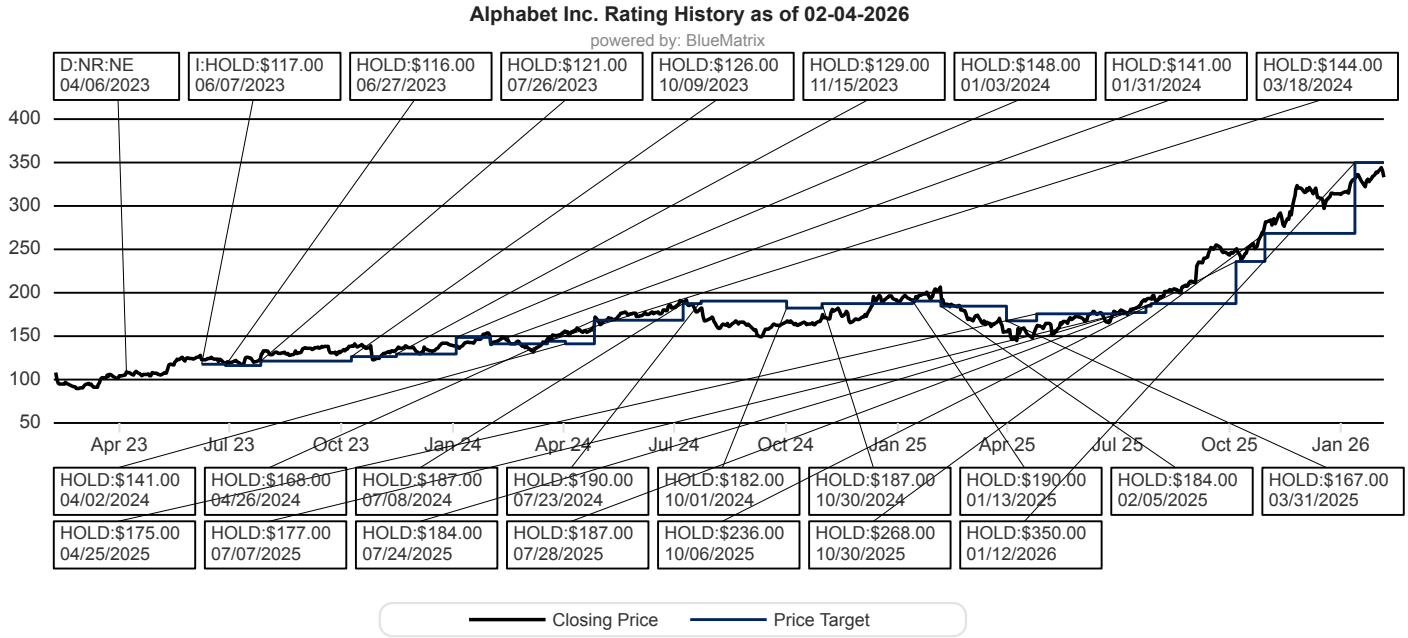

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UW=Underweight: Total return on stock expected to lag the Overweight- and Equal Weight-rated stocks within the analyst's coverage universe over the next 12 months. (SELL)

NR=Not Rated: The rating and price target has been removed due to lack of fundamental basis to support the recommendation or due to legal, regulatory or company policy considerations.

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